



CIMA

Management Case Study

May & August 2026

Mock Exam B  
Answers



**To gain maximum benefit, do not refer to these answers until you have completed the mock questions and submitted them for marking.**

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## Task 1

To: Elizabeth Maenda

From: Financial Manager

Date: Today

**Subject: Moving into the market for trays**

### Challenges in predicting costs and revenues

#### Market size and market share

The first challenge is that we will be entering into a market that we do not have experience of. We will need to gather data on the market size for trays in order to understand our potential sales volumes and therefore potential sales revenues.

We know that the overall food packaging market in Harrland is growing, but we need to determine the current level for sales of trays and its growth potential, so forecasts for the specific market segment will need to be obtained.

The second challenge for predicting volumes is to determine what our market share may be. For this, we will need to know who currently provides trays to the Harrland market and whether we will be directly competing with them. We will need to know and understand what our strengths and weaknesses are, so that we can determine how well we can target taking market share from those competitors.

We are an established brand name for cartons and tubs. This may transfer well to the sale of trays, but that is not guaranteed, so we may need to promote the Cartn brand significantly to gain our desired market share, incurring additional cost.

Our desire to enter the market is driven by Pack-Up, so a good place to start would be to investigate the quality and prices of their trays. It could be that innovation has driven their recent success in tray sales and profitability. Entering the market with a generic tray product may not capture the same level of growth.

#### Pricing

We will need to understand where our products will be positioned in the market so that we can form a pricing strategy. With lots of competition, we need to either differentiate by producing an innovative and/or high-quality product, allowing us to charge a high price, or we need to compete on price for the same standard of product already supplied to the market. Until this decision is made, we will not be able to predict sales revenues.

#### Costs

We need to determine the specification of materials that would be needed for tray manufacture. If Pack-Up's recent growth has been driven by innovation, we may need to incur a significant amount of expenditure to try to replicate that. If their growth has been driven by

promotional activity, they may now have a tight hold on the Harrland market, and we would require a significant budget for promotional activities to gain market share.

We will also need to determine how to produce trays. Can any of our current production lines be adapted for this, or will we need to invest in new plant and equipment?

Increased production levels will lead to an increase in factory operating costs, such as electricity use, which should be factored into the appraisal.

To successfully enter the market for trays, we will need to source appropriate materials, especially if our only route to success is via innovation. We may wish to use the same supplier as Pack-Up. However, this may not be possible if they have a trading relationship that prevents them from selling to competitors.

Materials costs may be high on a per unit basis while sales are low for a new product. We would have to predict how economies of scale would arise and factor this into our calculations.

Recruitment and training may be needed for staff who will produce the trays. The level of expenditure will depend on the scale at which we plan to undertake the project.

Decisions must be made about the scale of the project to be evaluated via NPV calculation. The project is to start on a small scale and potentially grow later. For the NPV, we need to know a timeframe over which to perform the calculations. Do we produce cash flows for the initial small phase of the project, or do we include estimates of the later growth phase?

#### **Usefulness of competitor's segmental report**

The fact that Pack-Up distinguishes its revenue sources between the four product ranges is interesting because it gives some indication of how revenues and profits are broken down for internal management purposes. Sales of trays grew significantly in 2026 by (57.4/35.5) 61.6%, forming 21.8% of Pack-Up's sales in 2026 compared to only 15.3% in 2025.

We must be careful not to extrapolate from this data without other data to back up such calculations. This data is very limited, covering only a change for one company from one year to the next. We don't know why such a large increase occurred – it may have been to do with something specific that Pack-Up did rather than because of an upturn in the market. There is no guarantee that the sales of trays will continue to grow at such a rate, either for Pack-Up or for anyone else selling trays.

We must therefore be prudent when making predictions based on analysis of this report. We should review the data in conjunction with Pack-Up's marketing activity and with overall market statistics.

The figures for gross profit are less valuable because it is not necessarily clear to Cartn how Pack-Up breaks down its cost of sales between product ranges. Pack-Up may have a different proportion of fixed costs to Cartn, meaning that direct comparisons at different sales volumes would not be feasible. This makes it difficult for Cartn to predict the costs that it will incur in developing and selling semi-rigid trays. The figure for gross profit may also exclude product development costs written off that Pack-Up had to incur that have yet to be borne by Cartn.

The limited analysis does not include any information relating to the net profit per product line. Expenses incurred in arriving at net profit per product line would be of particular interest as it would help to identify specific marketing and promotion costs incurred.

The choice of accounting policies and accounting treatments adopted by Pack-Up may also be a relevant factor. For example, the depreciation method and rate applied by Pack-Up for non-current assets may be different to Cartn, resulting in a different charge to profit or loss. The allocation of this charge between expense headings such as cost of sales, distribution costs and administrative expenses will also impact the information under review. The allocation of common costs between the four product lines will also change the perspective and insight available into Pack-Up's operations.

Pack-Up's analysis implies something about the potential demand for trays, but using the analysis requires several significant assumptions that could prove to be invalid. For example, has Pack-Up's revenue growth come from taking market share from competitors, or is the market itself growing sharply? It is possible that this is a smaller market than we may have anticipated based on Pack-Up's sales growth and that the launch of Cartn's products will simply lead to operating losses by both Pack-Up and Cartn.

#### Financial Manager

#### MARKING GUIDE:

#### Sub-task (a) = 60% (15 marks)

| Trait                         |         |                                                                                                                                                                                   |       |
|-------------------------------|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| Predicting costs and revenues | Level   | Descriptor                                                                                                                                                                        | Marks |
|                               |         | No rewardable material.                                                                                                                                                           | 0     |
|                               | Level 1 | Offers some discussion of challenges relating to predicting costs and revenues for Cartn in the new market. Discussion is generic with little relation to the specific scenario.  | 1-5   |
|                               | Level 2 | Offers good discussion of challenges relating to predicting costs and revenues for Cartn in the new market. Makes good attempt to relate the discussion to the specific scenario. | 6-10  |
|                               | Level 3 | Offers full discussion of challenges relating to predicting costs and revenues for Cartn in the new market. The discussion is entirely based around the specific scenario.        | 11-15 |

**Sub-task (b) = 40% (10 marks)**

| Trait                                         |         |                                                                                                                                                                                 |       |
|-----------------------------------------------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| Usefulness of divisional analysis information | Level   | Descriptor                                                                                                                                                                      | Marks |
|                                               |         | No rewardable material.                                                                                                                                                         | 0     |
|                                               | Level 1 | Describes rules relating to analysis and identifies problems Cartn will incur associated with determining divisional profitability.                                             | 1-3   |
|                                               | Level 2 | Describes usefulness of reported breakdown of figures and discusses problems Cartn will incur associated with determining divisional profitability.                             | 4-6   |
|                                               | Level 3 | Evaluates usefulness of reported breakdown of figures and evaluates problems Cartn will incur associated with determining divisional profitability, including predictive value. | 7-10  |

## Task 2

To: Elizabeth Maenda

From: Financial Manager

Date: Today

**Subject: Cartn trays**

### **Product development team engagement**

Team engagement is characterised by the level of enthusiasm and dedication of team members. At present, Product Development team staff tasked to work on the project to develop the range of semi-rigid trays have been reluctant to focus on it. By implementing the following strategies, Cartn can improve the team's engagement, helping contribute to the successful development of the new range.

#### Project management and accountability

Project management will assist in the integration of all aspects of the project, ensuring that the proper knowledge and resources are available when and where needed, and that the expected outcome is produced in a timely, cost-effective manner. A dedicated project manager should oversee the tray product development, ensuring accountability and coordination across a range of multi-disciplinary departments. This is particularly important given the team's current struggle to obtain the necessary cooperation and expertise from the Production department. This oversight will help engage the Product Development team to work towards the achievement of the project objectives.

#### Alignment and understanding of project goals

The development of the range of semi-rigid trays is the first major change for some time in the products we offer. It is important that the project goals and targets are clearly communicated to the Product Development team so that they understand what Cartn is striving to achieve, such as successfully entering the attractive Harland market.

Individual and team goals and targets, aligned to the overall project goals, should be identified and communicated to the team so that team members understand what their role is and what is expected of them, including clear deadlines.

Collaborative tools should be used to share project plans, and regular cross-departmental meetings should take place to ensure alignment and understanding of project goals, particularly to bridge the gap with Production.

#### Incentivise engagement

The Product Development team is more likely to engage in the project if they understand how its success will benefit them. A successful project capturing growth in the tray market could help contribute to Cartn's improved financial performance. This may, in turn, benefit the Product Development team, for example, through improved job security, pay increases or the introduction of incentives such as performance-related bonuses. The team has been with the

company for many years developing cartons and tubs. They may find this work enjoyable and consider that it adds value and so could be reluctant to change their focus. However, the new project will be a personal development opportunity for team members to learn about tray design and production. A recognition programme could be introduced offering career growth opportunities for high performing staff.

#### Resource allocation and support

Poor team engagement may, in part, be due to a perception by members that they do not have the time, expertise or support required to successfully assist in developing the new range. An expectation should be defined of how much time team members are expected to commit to the achievement of the project goals, and when that time is likely to be required.

Cartn should organise training sessions to enhance the technical knowledge of the Product Development team regarding specific challenges and opportunities relating to tray design and manufacture. This should help the team to consider how best they are able to add value when identifying and solving problems associated with manufacturing the trays, such as adapting the moulding patterns dependent on customer needs.

Cartn should also facilitate knowledge exchange sessions where Production team members share insights on manufacturing processes relevant to trays. This should assist the Product Development team to feel more supported by Production.

#### Cultural and change management

This is the first major change for some time in the products offered and will require a shift in mindset for the Product Development team. Although it is thought that the team possesses the technical expertise to source suitable materials and produce high-quality trays, their apparent lack of interest suggests a reluctance or fear of change. Cartn should address resistance to change by fostering a culture of innovation and adaptability. It should encourage open discussions about concerns and promote a shared vision for the new product range.

In addition, it could provide change management support to help team members transition from their long-standing focus on cartons and tubs to the new semi-rigid tray range.

#### **Transfer price**

The Product Development team may be making excessive use of Production staff time in order to free Product Development staff for other duties, while the Production Manager is encouraging Production staff to ignore such requests.

Such behaviour is potentially damaging to the overall business, but both sets of actions are designed to benefit the individual teams under each department head. It may be difficult therefore to convince either department head to change their behaviour. Simply instructing the two department heads to cooperate or imposing a transfer price that they feel is unfair may lead to resentment, resistance and further problems of dysfunctional behaviour.

The Production Department may not be able to achieve their productivity or cost targets if the team is spending excessive time assisting the Product Development department without any



financial reward. Perhaps overtime is being incurred because of the extra work, or productivity levels are reduced.

It would be ideal if the question of cooperation could be resolved by an appropriate transfer price, so that neither department has an incentive to behave in a dysfunctional manner, but both department heads still feel that they are in control of their area of operational responsibility.

Generally, charging transfer prices based on opportunity costs offers the most satisfactory way of optimising internal trading. Opportunity costs, however, may be difficult to measure in this case. The difficulty is that there will not be an objective, mutually agreeable, way to measure the value of the time being recharged that is acceptable to both departments.

One response to the problem might be to permit the Production Manager to make an internal charge that is equal to the hourly overtime rate paid to staff. If necessary, the Production department could then afford to pay overtime to staff to make up for time spent dealing with Product Development department queries. The charge should have an upper limit that was less than the hourly rate that would have to be paid for external consultants. This should discourage the Product Development department from using external providers, which would lead to additional cost incurred by the Group. The imposition of charges above those currently permitted would create a disincentive for Product Development to make excessive use of Production staff time.

An alternative approach would be to use dual pricing. Cartrn's Board is committed to launching trays as a product, so the development work is essential. To keep both teams happy and allow development to proceed without friction, we could allow the Production team to set market rates for the transfer, with the Product Development team only being charged a marginal cost. This would keep both managers happy. The finance team would have to reconcile and adjust for the differences.

### **Financial Manager**

**MARKING GUIDE:****Sub-task (a) = 60% (15 marks)**

| <b>Trait</b>                        |              |                                                                                                                             |              |
|-------------------------------------|--------------|-----------------------------------------------------------------------------------------------------------------------------|--------------|
| Product Development team engagement | <b>Level</b> | <b>Descriptor</b>                                                                                                           | <b>Marks</b> |
|                                     |              | No rewardable material.                                                                                                     | 0            |
|                                     | Level 1      | Defines engagement and identifies need for engagement of the Product Development team.                                      | 1-5          |
|                                     | Level 2      | Defines engagement and offers some relevant suggestions for Product Development team engagement, with good justification.   | 6-10         |
|                                     | Level 3      | Defines engagement and offers a good range of suggestions for Product Development team engagement, with full justification. | 11-15        |

**Sub-task (b) = 40% (10 marks)**

| <b>Trait</b>   |              |                                                                                                                                                                |              |
|----------------|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| Transfer price | <b>Level</b> | <b>Descriptor</b>                                                                                                                                              | <b>Marks</b> |
|                |              | No rewardable material.                                                                                                                                        | 0            |
|                | Level 1      | Identifies transfer pricing approach for Cartn and offers some justification for the recommendation made.                                                      | 1-3          |
|                | Level 2      | Discusses transfer pricing in the context of this Cartn scenario and offers good justification for the recommendation made.                                    | 4-6          |
|                | Level 3      | Provides a good discussion of the dysfunctional behaviour that could arise from this Cartn scenario and offers full justification for the recommendation made. | 7-10         |

## Task 3

To: Elizabeth Maenda  
From: Financial Manager  
Subject: Cartn trays

Hi Elizabeth,

### Debt and equity

The immediate costs of raising finance will always be an issue in selecting between different sources available to Cartn. There is generally a significant fixed cost associated with raising equity, which makes it uneconomic to raise small amounts by equity rather than debt. As a quoted company, Cartn could make a public issue of shares on the Harrlandian Stock Exchange. The financing of the new plant and equipment plus additional inventory will require an investment of H\$45m which, if financed by equity, would represent an increase of 11.6% ( $H\$45/H\$386.4m$ ). This would double the current issued share capital plus share premium, so represents a significant proportionate increase. It may also have implications for the current controlling shareholders as they may not be able to invest sufficient to retain that interest. That said, it would reduce the current gearing ratio from 28.5% ( $H\$154.3m/(H\$386.4m + H\$154.3m)$ ) to 26.3% ( $H\$154.3m/(H\$431.4m + H\$154.3m)$ ), which providers of equity finance may view as a reduction in financial risk and a beneficial change.

Gearing is an important accounting ratio and so the impact of new funding should be considered. Cartn could make an issue of corporate bonds or notes on the Harrlandian Stock Exchange to raise the necessary finance. Alternatively, it may be able to source debt finance or grants from a specialist provider of finance, such as agencies promoting more sustainable manufacturing and working practices.

Cartn's gearing is presently 28.5%. If debt finance is used, borrowing a further H\$45m would increase the gearing ratio to 34.0% ( $H\$199.3m/(H\$386.4m + H\$199.3m)$ ). The funding to be raised in comparison to current debt levels represents an increase of approximately 29%. The increase in gearing from using debt finance may cause some concern amongst current shareholders who may seek a higher rate of return on their investment in Cartn. Debt is a cheaper source of finance than equity due to the lower risk levels perceived by debt investors, so the combined effect of higher gearing and cheaper finance may be to reduce the company's WACC. They may need to be reassured of the potential commercial and financial benefits that the investment would generate.

The return paid to providers of debt capital will be a tax-deductible expense in the statement of profit or loss, making it even cheaper. The return to equity holders would be a reduction in retained earnings within equity and not tax-deductible.

It would be possible to tailor debt to match the life of the assets that are to be financed. In this case, there will be a significant investment in new plant and equipment for production plus increased inventory holdings. The intention would be to develop a new product range

using new assets which would be subject to the same regular repair and maintenance programme of our current plant and equipment. It is expected that, on a long-term basis, once this has been funded and subsequently paid, the only ongoing investment requirement would be the financing of additional inventory holdings. Revenue from the new product range will be used to help replace these assets, potentially removing the need for additional debt.

### **Integrated Reporting Capitals**

**Financial capital** is the funding that will appear in the Cartn Group's statement of financial position that would be reported as a matter of routine in the annual financial statements. The funding raised for the planned expansion will simply be reported as normal in equity and/or non-current liabilities as applicable. Finance costs associated with debt finance will be included in the statement of profit or loss, and any dividends paid to equity holders would be disclosed in the statement of changes in equity.

**Manufactured capital** will essentially be the investment in the property, plant and equipment that appears in the Group statement of financial position. Again, it will simply be reflected as an increase in non-current assets in the financial statements.

**Intellectual capital** will reflect any intangibles that Cartn creates because of the new range of trays. It will not be necessary to attach a monetary value to those assets; it will be adequate to describe them in sufficient detail to inform stakeholders about the intellectual property that Cartn has created.

In this case, the knowledge relates to the design and creation of new trays. Also, the materials used in the manufacture of the trays may have particular qualities, such as their size, shape or biodegradable qualities that enhance business customer and end consumer satisfaction. It is sufficient that Cartn has developed designs and processes that enable it to expand the range of products that it sells.

Note, however, that Cartn does have intangible assets which may include patented processes, materials or components which may be able to be used for the trays or easily adapted for use for this new range. It is also possible that Cartn may develop a new production process for the new range, in which case, the requirements of IAS 38 Intangible assets, should be complied with, capitalising any costs that meet the required criteria, and writing-off any other costs incurred.

**Human capital** will reflect any new competencies or capabilities that will be created or enhanced for any of Cartn's staff. The new range will require Cartn's design staff to develop new skills relating to developing the designs for the new trays, perhaps in relation to the shape or dimensions of the trays. Those skills may be of value when extending the Cartn product range. Human capital may be enhanced by recruitment of employees with different skills or competencies or providing additional training for members of the current workforce.

**Social and relationship capital** arises from relationships and the ability to create collective wellbeing. Cartn will create a new product range which will offer business customers a product with enhanced sustainability credentials and give end consumers greater choice to enable

their needs to be more easily or better matched. The new range could be regarded as a preferable alternative to similar products offered by other suppliers.

**Natural capital** reflects the impact that Cartn has on scarce resources. Cartn should design its processes and products to minimise waste and focus upon recyclability of its materials and packaging. Given the increased awareness of investors and society to environmental-related issues, any investment in new plant and equipment that is more energy-efficient and that contributes to waste reduction from the production process will be viewed positively by interested parties. The use of wheat straw, which may otherwise go to waste, in tray production may be disclosed as an environmentally beneficial use of natural capital.

If you need any further information, please contact me.

Financial Manager

#### MARKING GUIDE:

##### Sub-task (a) = 40% (10 marks)

| Trait           |         |                                                                                                                                                                                                                                                                                                                                          |       |
|-----------------|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| Debt and equity | Level   | Descriptor                                                                                                                                                                                                                                                                                                                               | Marks |
|                 |         | No rewardable material.                                                                                                                                                                                                                                                                                                                  | 0     |
|                 | Level 1 | Explains a limited number of points in basic or general terms relating to how finance is raised is accounted for without detail or application to the context of the scenario.                                                                                                                                                           | 1-3   |
|                 | Level 2 | Explains a reasonable number of points that demonstrates some insight and understanding of how finance raised is classified and accounted for. There may be limited application to the context of the pre-seen and/or scenario.                                                                                                          | 4-7   |
|                 | Level 3 | Fully explains a broad range of points that demonstrate insight and understanding of how finance raised is classified and accounted for in the financial statements.<br><br>There should be application to the context of the pre-seen and/or scenario e.g. reference to equity and debt finance in the statement of financial position. | 8-10  |

**Sub-task (b) = 60% (15 marks)**

| Trait                |         |                                                                                                                                                                                                                                       |       |
|----------------------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| Integrated reporting | Level   | Descriptor                                                                                                                                                                                                                            | Marks |
|                      |         | No rewardable material.                                                                                                                                                                                                               | 0     |
|                      | Level 1 | Explains some points that demonstrate an understanding of integrated reporting, but is not comprehensive, lacks detail and with minimal application to Cartn.                                                                         | 1-4   |
|                      | Level 2 | Explains a range of points that demonstrate insight and understanding of integrated reporting, but is not comprehensive. For example, it may lack comment on the impact on the different forms of capital. Good application to Cartn. | 5-10  |
|                      | Level 3 | Fully explains a broad range of points that demonstrate insight and understanding of what an integrated report is, how it differs from financial statements and includes reference and/or full application to Cartn.                  | 11-15 |

## Task 4

To: Elizabeth Maenda

From: Financial Manager

Date: Today

**Subject: Project issues for tray production**

### **Project management**

The Board's decision on whether to focus solely on consumer-friendly trays with reduced secondary packaging, or to develop two separate ranges to appeal to both consumers and food producers, will significantly impact how we manage this project.

#### Defining project scope

Currently, the Board is weighing the marketing benefits of a dual product approach against operational concerns regarding factory space and production inefficiencies. Making a definitive choice soon will provide the project team with a clear objective. A single product focus creates a unified goal, allowing the departments to align and collaborate productively. A dual product approach creates a much broader, fragmented scope, requiring the project manager to carefully balance competing departmental priorities from the outset.

#### Resource allocation and team composition

If the Board opts to produce two types of products simultaneously, the project's scope and complexity will effectively double. This will put significant pressure on the Product Development and Operations teams, requiring careful resource management. The project manager will need to assemble a team with the right mix of practical skills to organise complex production scheduling and maintain strict quality control across two distinct lines, ensuring this dual workload is handled efficiently and within budget.

In contrast, if there is a focus on a single market, the team can concentrate its resources. For example, focusing solely on consumers means the team must solve specific technical challenges, such as printing directly onto the tray material to eliminate secondary packaging. This narrower scope would require a project team heavily weighted with technical design specialists and external print suppliers.

#### Project leadership and liaison with stakeholder groups

The chosen path will also dictate the project manager's core focus and stakeholder interactions.

If the decision is to focus on a single consumer-led design, Marketing may be best positioned to lead the project. They would need to use persuasive communication to convince our food manufacturing customers to adopt our new packaging, despite their initial reluctance and the potential for increased primary packaging prices.

Should the Board decide to produce two distinct product types, managing simultaneous product lines will require a project manager with exceptional organisational and negotiation

skills. They must balance the commercial ambitions of Marketing with the practical constraints of Operations, ensuring that the drive to capture both markets does not severely compromise our factory space, costs, or overall production efficiency.

### **Pricing approach**

If Cartn decides to prioritise the preferences of food consumers for tray production, it will still have to consider that consumers are not purchasing directly from Cartn and so our pricing will still need to appeal to the food manufacturers.

#### Penetration pricing

If we decide to focus on consumers, we will be aiming to reduce the level of secondary packaging required for the trays. We know that this is an approach that food producers may not find attractive, so to encourage them to choose Cartn trays, we may choose to price as low as possible. Penetration pricing involves setting a low price initially to attract large sales volumes quickly. Once established in the market, the prices could then be slowly raised to a level that will generate appropriate profits in the longer term.

If through low pricing we are able to encourage food manufacturers to redesign their products with minimal secondary packaging while maintaining their profitability and potentially stimulating their own sales to environmentally conscious consumers, sales volumes should grow over time. This would lead to achieving the benefits of economies of scale that make penetration pricing a profitable approach over the long term, despite the low profit margins earned initially.

However, the main danger of penetration pricing is that the prices we could achieve would not be enough to generate an appropriate level of profit. Only if the strategy is successful could we raise prices at a later date and/or gain the benefits of economies of scale. This is a risky approach given the level of investment made in the products to date.

#### Price skimming

For products that are attractive in ways other than price, such as unique or high-quality products, an approach that could be taken is to charge high prices initially to earn as much profit per unit as possible from those customers who are willing to pay such prices to have the product. The prices can then be lowered gradually to tap into the rest of the market.

This would enable high profit margins to be achieved initially, which would help to recoup the costs incurred when developing the trays.

Environmentally conscious customers may be willing to pay higher prices for the products that meet their desire for sustainability. However, there will also be an element of the market that desires such products but cannot afford to pay higher prices. Our usual food manufacturing customers will not wish to raise prices for these consumers as they will probably lose sales as a result. There is the possibility that the manufacturers will pay the higher prices to Cartn but not pass the additional cost onto consumers, but we should not rely on this happening when making our pricing decision.



It may be that we could target customers who produce food products at the premium end of the market. Their customer base may already be those who are willing and able to pay higher prices for sustainable products. This would, however, leave us targeting a niche aspect of the market rather than the market as a whole.

#### Consistency for the brand

Ultimately, we should set a price that is consistent with our product positioning. We don't want our product range and pricing to be seen as confusing to food manufacturers. We should decide who we are ultimately targeting and price in line with the expectations of that market.

#### **Product and product reputation risks**

##### Product risks

One risk that might arise from this new product is that we target the incorrect market. The market that aligns with the wishes of environmentally conscious food consumers may not fully materialise. It may be that the government debate proceeds no further than a short discussion. No legislative changes may result, even if the government agrees that progress on reducing secondary packaging is a positive step.

Without legislative changes, food producers may not wish to incur the cost of amending their own production processes until sales of the (potentially more expensive) food contained in the updated packaging is guaranteed, or until customers are seen to switch away from products with higher levels of secondary packaging.

If we target food manufacturers who do not wish to make changes to their product packaging, we may end up falling foul of legislative changes if they do arise.

If we were to decide to produce both types of packaging, we may incur excessive cost to run two types of production line, such that the profitability of our tray production doesn't meet targets and is considered a failure.

##### Product reputation risks

If we fail to meet the wishes of consumers, negative publicity could arise, via such outlets as social media. In theory, this could have a significant negative impact on sales of all of our products.

However, we are shielded from this to a large extent, as we are not the 'face of the product' – the food manufacturers themselves are. It is they who are likely to bear the reputational damage from failing to act in a more sustainable manner.

However, it would not take much effort for determined consumers or media outlets to discover that we are actually responsible for manufacturing the materials that they are unhappy with, so it is a risk we should consider.

If we fail to meet the wishes of food manufacturers, our reputation within the industry could be damaged. This could have a knock-on effect to sales of our cartons and tubs to current customers.

We may also fail to attract new customers if it is felt that we prioritise our view of consumer needs over our direct customers' actual needs.

**Financial Manager****MARKING GUIDE:****Sub-task (a) = 33% (8 marks)**

| <b>Trait</b>       |              |                                                                                                                                                                                        |              |
|--------------------|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| Project management | <b>Level</b> | <b>Descriptor</b>                                                                                                                                                                      | <b>Marks</b> |
|                    |              | No rewardable material.                                                                                                                                                                | 0            |
|                    | Level 1      | Identifies some ways the Board's decision will affect project management, but the explanation is basic and lacks specific application to the Cartn scenario.                           | 1-2          |
|                    | Level 2      | Good discussion of how the decision to focus on consumers, or both consumers and manufacturers will affect the management of the project, with some application to the Cartn scenario. | 3-5          |
|                    | Level 3      | Offers full discussion of how the Board's decision will impact various aspects of project management with full application to the specific Cartn scenario.                             | 6-8          |

**Sub-task (b) = 34% (9 marks)**

| <b>Trait</b> |              |                                                                                                                                                 |              |
|--------------|--------------|-------------------------------------------------------------------------------------------------------------------------------------------------|--------------|
| Pricing      | <b>Level</b> | <b>Descriptor</b>                                                                                                                               | <b>Marks</b> |
|              |              | No rewardable material.                                                                                                                         | 0            |
|              | Level 1      | Describes pricing strategies, but with little reference to the Cartn scenario and overall pricing strategy.                                     | 1-3          |
|              | Level 2      | Offers sensible recommendations for pricing trays, with some justification and some relevance to Cartn's current pricing strategy.              | 3-6          |
|              | Level 3      | Offers sensible recommendations for pricing trays, with good justification and relevance to the product and the overall Cartn pricing strategy. | 7-9          |

**Sub-task (c) = 33% (8 marks)**

| Trait |         |                                                                                                                                                    |       |
|-------|---------|----------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| Risks | Level   | Descriptor                                                                                                                                         | Marks |
|       |         | No rewardable material.                                                                                                                            | 0     |
|       | Level 1 | Defines product and product reputation risks but with little relation to Cartn and the specific product range.                                     | 1-2   |
|       | Level 2 | Offers a good discussion of the product and product reputation risks arising in the specific scenario.                                             | 3-5   |
|       | Level 3 | Offers a full discussion of the product and product reputation risks arising in the specific scenario, with good justification of their selection. | 6-8   |

**SUMMARY MARKING GUIDE**

|                  | CORE ACTIVITY  |                |                |                |                | TOTAL      |
|------------------|----------------|----------------|----------------|----------------|----------------|------------|
|                  | A              | B              | C              | D              | E              |            |
| <b>TASK 1</b>    | 15             |                |                | 10             |                | <b>25</b>  |
| <b>TASK 2</b>    |                |                | 15             |                | 10             | <b>25</b>  |
| <b>TASK 3</b>    |                | 10             |                |                | 15             | <b>25</b>  |
| <b>TASK 4</b>    |                | 9              | 8              | 8              |                | <b>25</b>  |
| <b>TOTAL</b>     | <b>15</b>      | <b>19</b>      | <b>23</b>      | <b>18</b>      | <b>25</b>      | <b>100</b> |
| <i>Blueprint</i> | <i>15 - 25</i> | <i>15 – 25</i> | <i>15 – 25</i> | <i>15 – 25</i> | <i>15 - 25</i> |            |

